





SS-1002

Islamic & Religious Studies

School of Computing

National University of Computer and Emerging Sciences

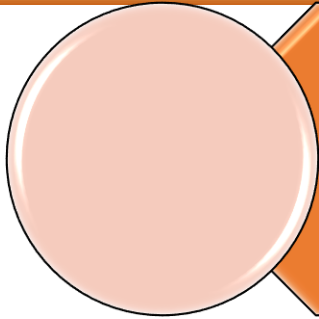
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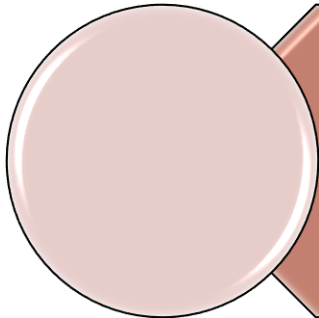
LECTURE 11

ISLAMIC ECONOMIC SYSTEM

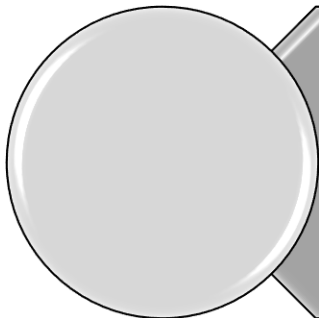
Definitions of Economics



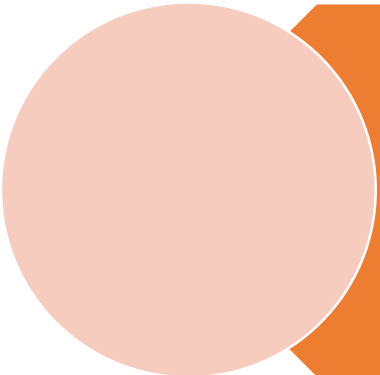
Economics is the study of the use of scarce resources to satisfy unlimited human wants.



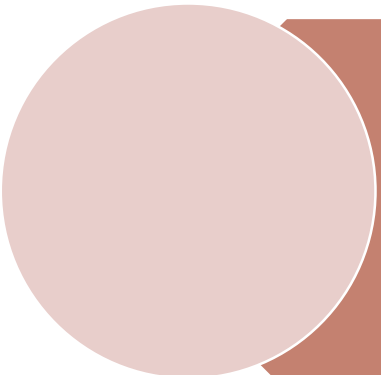
Economics is the science which studies human behavior as a relationship between ends and scarce means which have alternative uses.



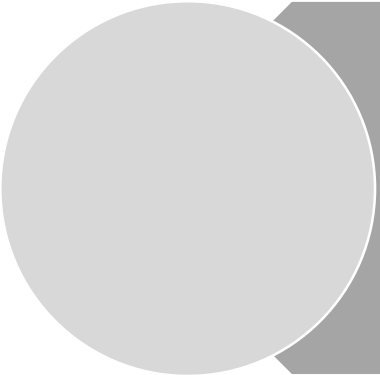
Economics is a social science that focuses on the production, distribution, and consumption of goods and services, and analyzes the choices that individuals, businesses, governments, and nations make to allocate resources.



Economics is the study of the use of scarce resources to satisfy unlimited human wants.



Economics is the science which studies human behavior as a relationship between ends and scarce means which have alternative uses.



Economics is a social science that focuses on the production, distribution, and consumption of goods and services, and analyzes the choices that individuals, businesses, governments, and nations make to allocate resources.

Role of an Economist

- An economist studies the relationship between a society's resources and its production or output, and
- Their opinions help shape economic policies related to interest rates, tax laws, employment programs, international trade agreements, and corporate strategies.
- Economists analyze economic indicators, such as gross domestic product and the consumer price index to identify potential trends or make economic forecasts.
- Economists are also employed as professors, by corporations, or as part of economic think tanks.

TYPES OF ECONOMIC SYSTEM

Five economic systems illustrate historical practices used to allocate resources to meet the needs of the individual and society.

Primitivism

- In primitive agrarian societies, individuals produced necessities from building dwellings, growing crops, and hunting game at the household or tribal level.

Feudalism

- A political and economic system of Europe from the 9th to 15th century, feudalism was defined by the lords who held land and leased it to peasants for production, who received a promise of safety and security from the lord.

Capitalism

- With the advent of the industrial revolution, capitalism emerged and is defined as a system of production where business owners organize resources including tools, workers, and raw materials to produce goods for market consumption and earn profits. Supply and demand set prices in markets in a way that can serve the best interests of society.

Socialism

- Socialism is a form of a cooperative production economy. Economic socialism is a system of production where there is limited or hybrid private ownership of the means of production. Prices, profits, and losses are not the determining factors used to establish who engages in the production, what to produce and how to produce it.

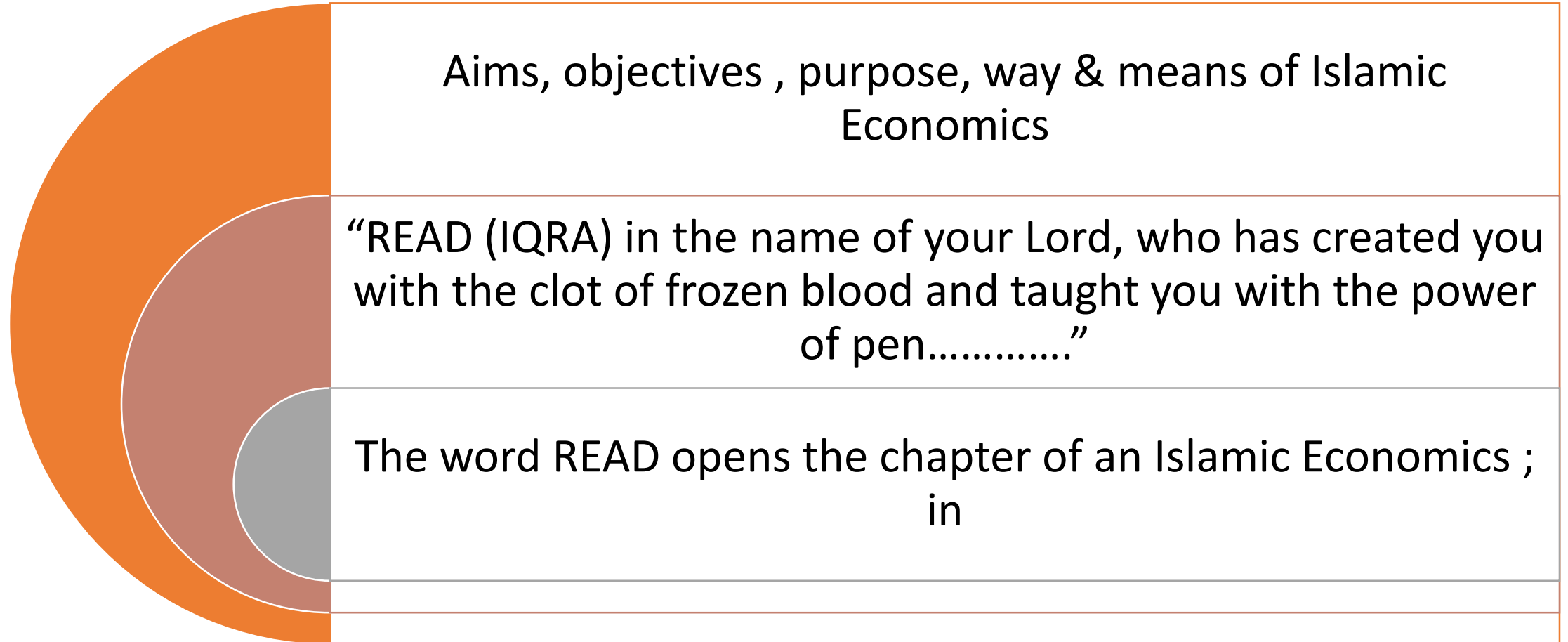
Communism

- Communism holds that all economic activity is centralized through the coordination of state-sponsored central planners with common ownership of production and distribution.

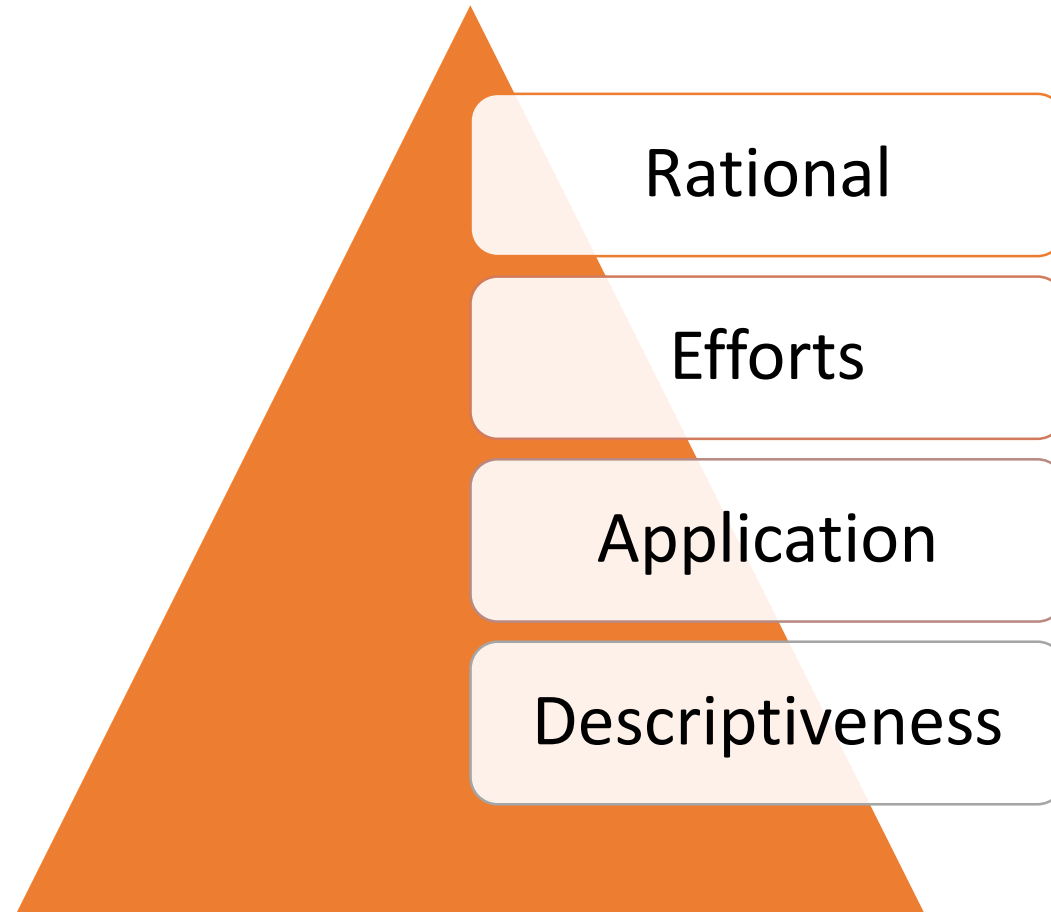
THE ISLAMIC ECONOMIC SYSTEM

- The Islamic economic system is the collection of rules, values and standards of conduct that organize economic life and establish relations of production in an Islamic society.
- Islamic economic system consists of organizations, institutions, and social values that exemplify the production, exchange, and consumption of goods and services.
- These rules and standards are based on the Islamic order as recognized in the Quran and Sunnah and the corpus of jurisprudence
- Islamic economics is 'the study of economics in the light of Islamic principles', or 'bringing economics in consonance with the Shari'ah'

ALMIGHTY ALLAH IDENTIFIED



READ



APPLICATION OF DEEN

(Principles of Lifestyle)

Through the theory

- **“THE HOLY QURAN”**

By the explanation of theory

- **HADITH**

Practice and Implementation

- **The Glorious Shariah**

PRINCIPLES OF THE ISLAMIC ECONOMIC SYSTEM

a. Allah determines Right and Wrong

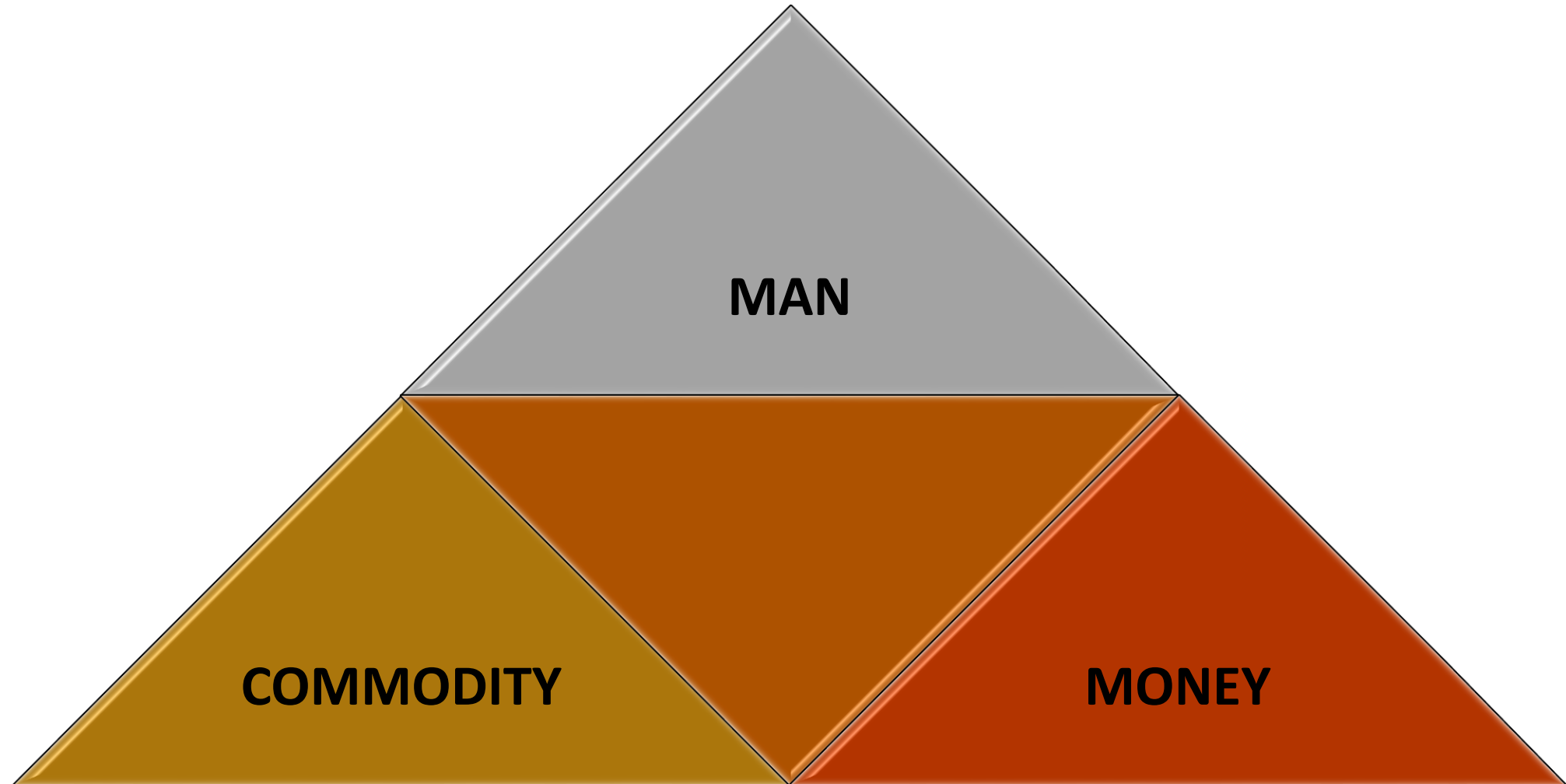
b. Principles of Uses Within the bounds of lawful (Halal) and unlawful (Haram) prescribed by Allah and also keeping in view the rules of moderation and prudence, the man has been allowed to make full enjoyment of God's gifts bestowed on him

C. Principle of Moderation

d. Economic Freedom Every individual, according to Islam, is accountable for his actions done in this world.

e. Principle of Justice

ISLAMIC ECONOMIC REGARDS THREE FACTORS OF PRODUCTION



IMPORTANCE OF ISLAMIC ECONOMIC SYSTEM

It enjoys a separate identity

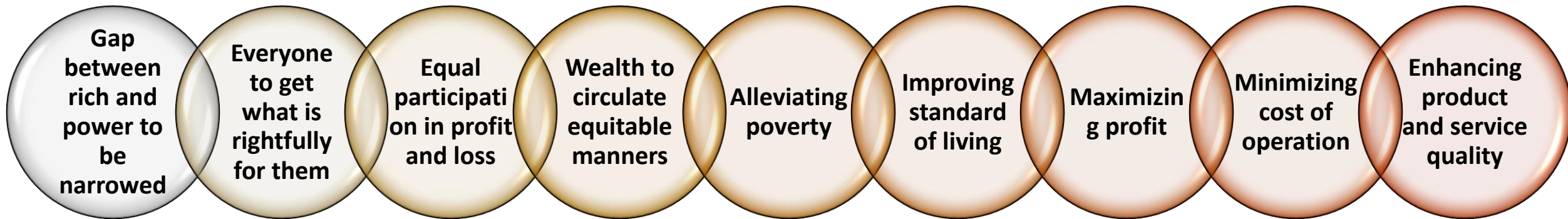
It is a self contained system with its own economic policy

It covers interests at Private and Public as well as Material or Spiritual

It has given a complete system of lifestyle, Earning, Expenditure , Businesses, and Relationship with Legal Framework

It emphasizes for all bases on Social Justice, Equality, Unity, love, Cooperation , Sharing, Transparencies in all affairs and respect

OBJECTIVES OF ISLAMIC ECONOMICS SYSTEM

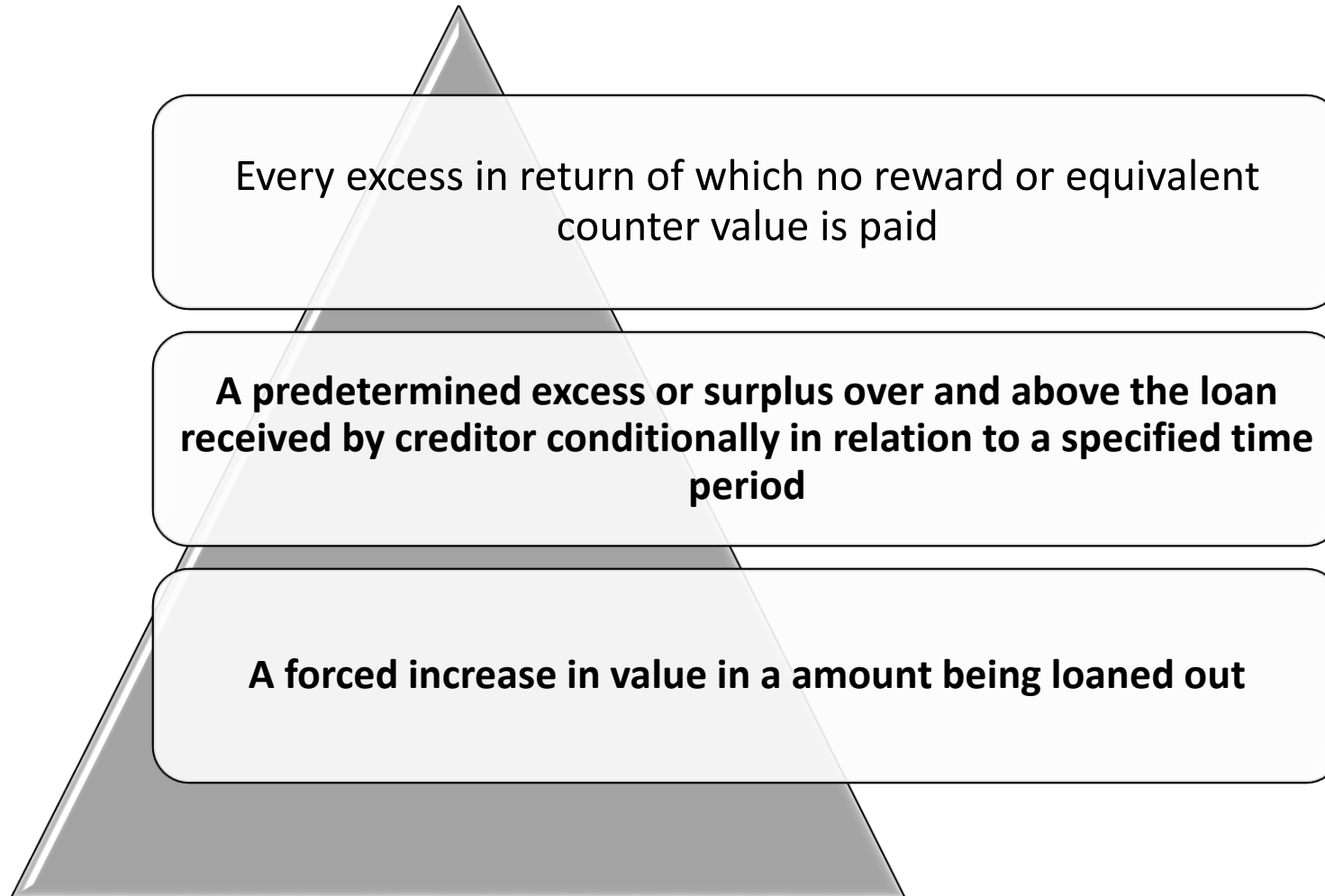




LITERAL MEANING

- an Arabic word
- Root words ر - ب - و
- To increase
- To exceed
- To grow
- To expand
- profit
- Additional value
- augmentation
- For example:” { رَبَّاهُ الْمَالُ : } ,The property increased}”

TERMINOLOGICAL MEANING



DEFINITION OF RIBA

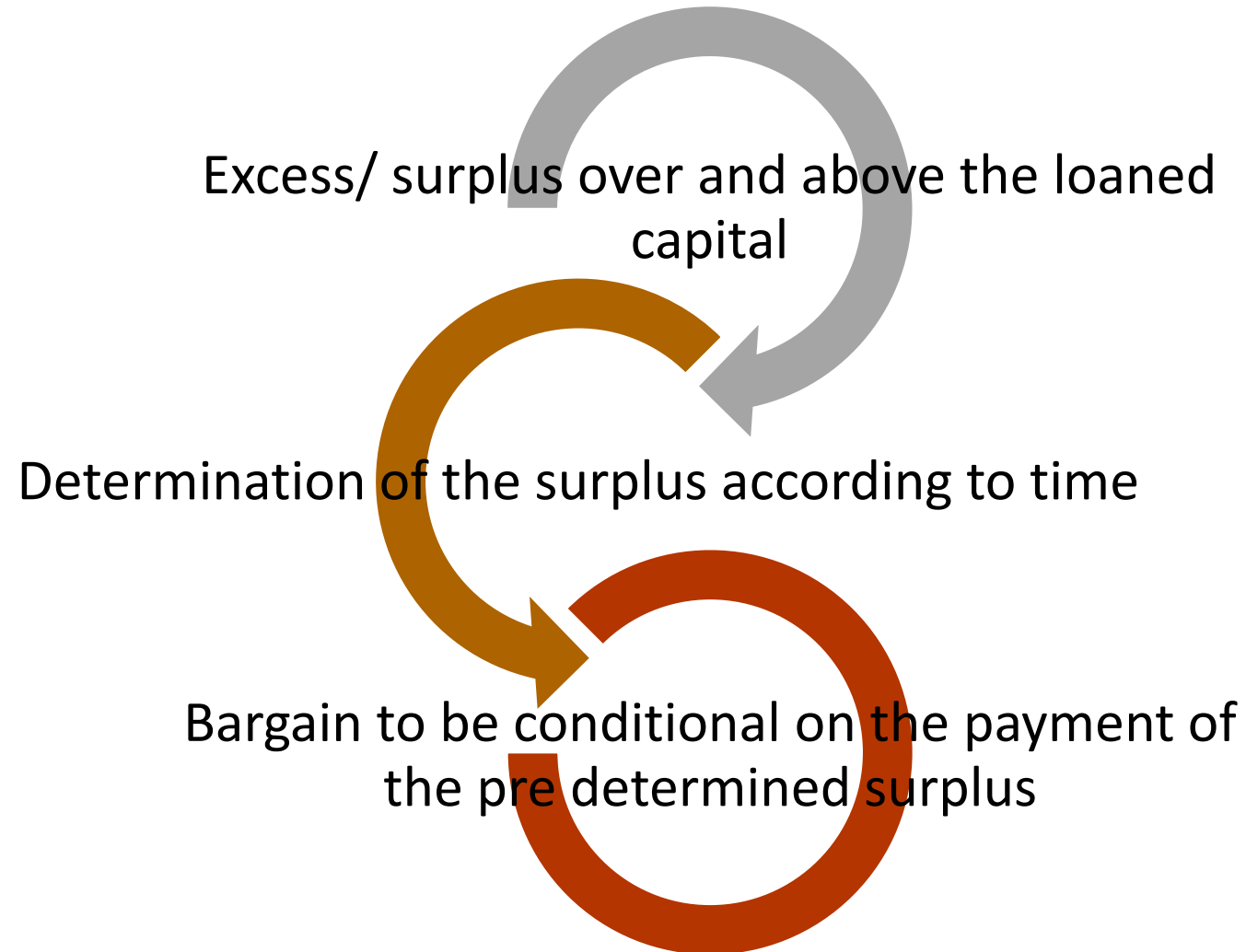
During pre
Islamic days
(jahiliyyah)

- Lending out money for a specified time and received from him a fixed amount of money every month as interest

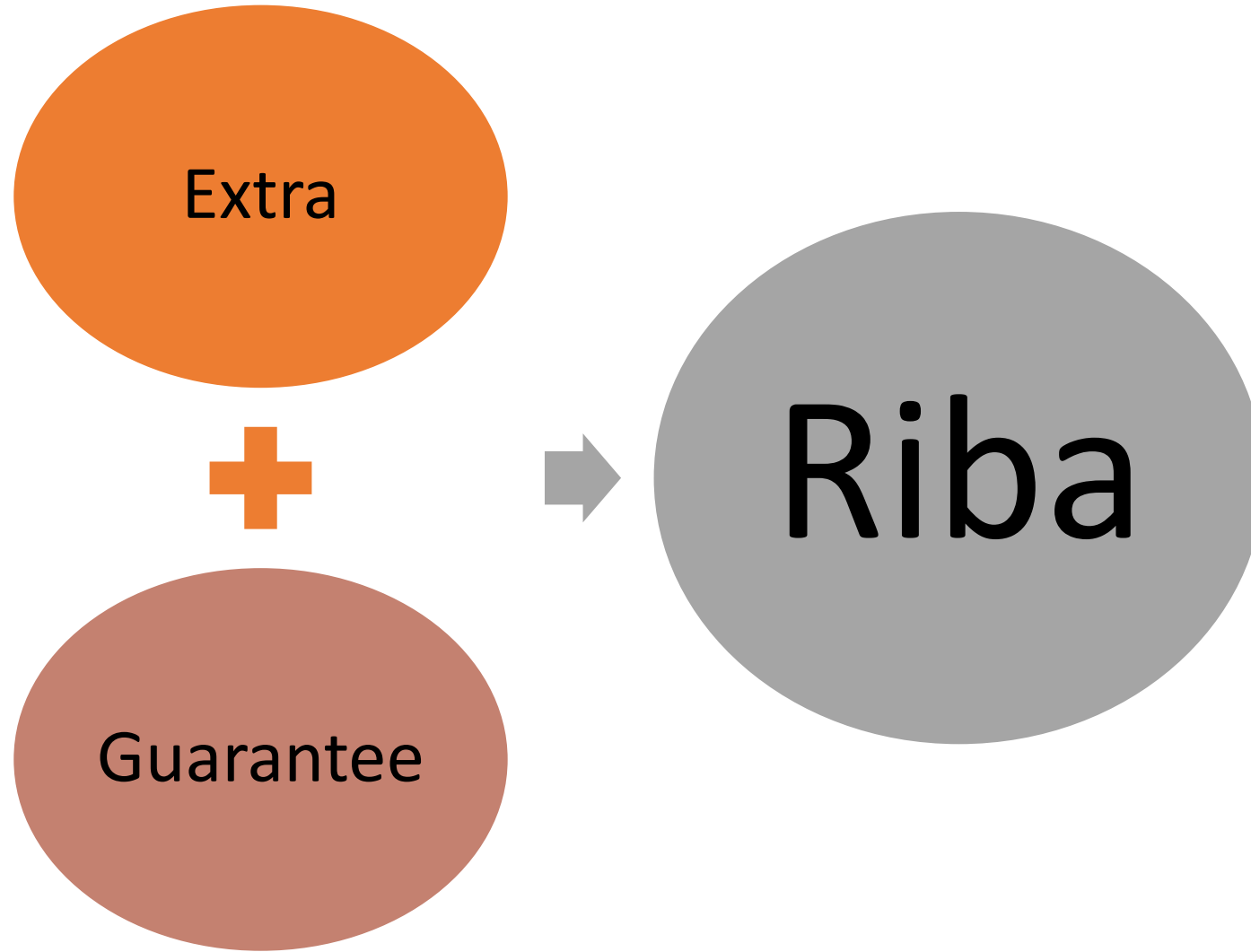
“Modern”
concept

- Lending our money to another on a condition that after a certain time it would charge a fixed amount in addition to the principal
- Addition with no additional labor but due to time for which the principal has been borrowed

ELEMENTS OF RIBA



EQUATION OF RIBA



NEGATIVE ASPECTS OF RIBA

- Combination of evil and sins
- Bad practice to earn and gain
- Bring instability in the society
- Source of increase in inflation
- Create classes in the society
- Non transparent economic activity
- The most hated practice in Islam
- It is a social crime at individual, communal and institutional level
- Increased in the amount of debt
- Suffer depression
- Gap between rich and power
- Encourage monopoly
- Bankruptcy

STAGES OF PROHIBITION OF RIBA IN QURAN

1. FIRST REVELATION (SURA AR-RUM, VERSE 39)

وَمَا آتَيْتُمْ مِّن رَّبًّا لِّيَرْبُو فِي أَمْوَالِ النَّاسِ فَلَا يَرْبُو
اللَّهُ عِندَ اللَّهِ وَمَا آتَيْتُمْ مِّن زَكَاةٍ تُرِيدُونَ وَجْهَ
فَأُولَٰئِكَ هُمُ الْمُضْعِفُونَ

اور جو مال تم سود پر دیتے ہو تاکہ (تمہارا اثاثہ)
لوگوں کے مال میں مل کر بڑھتا رہے تو وہ اللہ
کے نزدیک نہیں بڑھے گا اور جو مال تم زکوٰۃ (و
خیرات) میں دیتے ہو (فقط) اللہ کی رضا چاہتے
ہوئے تو وہی لوگ (اپنا مال عند اللہ) کثرت سے
بڑھانے والے ہیں ۝

*And whatever you give for **Riba** in order that it may increase in people's wealth, it will not increase in the sight of Allah; and whatever you give for Zakat, seeking Allah's pleasure, it is they who are the multipliers (to get manifold reward)*

2. SECOND REVELATION (SURAH AN-NISA', VERSE 161)

وَأَخْذِهِمُ الرِّبَا وَقَدْ نُهُوا عَنْهُ وَأَكْلِهِمْ أَمْوَالَ
النَّاسِ بِالْبَاطِلِ وَأَعْتَدْنَا لِلْكَافِرِينَ مِنْهُمْ
عَذَابًا أَلِيمًا

اور ان کے سود لینے کے سبب سے، حالانکہ
وہ اس سے روکے گئے تھے، اور ان کے
لوگوں کا ناحق مال کھانے کی وجہ سے (بھی
انہیں سزا ملی) اور ہم نے ان میں سے
کافروں کے لئے دردناک عذاب تیار کر رکھا

○ ہے

and [because of] their
taking **Riba** although it had been
forbidden to them, and their wrongful
devouring of other people's possessions.
And for those from among them who
[continue to] deny the truth We have
readied grievous suffering.

3. THIRD REVELATION (SURAH ALE 'IMRAN, VERSES 130)

يَا أَيُّهَا الَّذِينَ آمَنُوا لَا تَأْكُلُوا الرِّبَا
أَضْعَافًا مُّضَاعَفَةً وَاتَّقُوا اللَّهَ لَعَلَّكُمْ
تُفْلِحُونَ

اے ایمان والو! دو گنا اور چو گنا کر
کے سود مت کھایا کرو، اور اللہ سے
ڈرا کرو تاکہ تم فلاح پاؤ

*O you who believe! (Do) not
eat Riba doubled, re-doubled.
And consciously revere Allah
so that you may (be)
successful.*

4. FOURTH REVELATION (SURAH AL-BAQARAH, VERSES 275-81)

الَّذِينَ يَأْكُلُونَ الرِّبَا لَا يَقُومُونَ إِلَّا كَمَا يَقُومُ
الَّذِي يَتَخَبَّطُهُ الشَّيْطَانُ مِنَ الْمَسِّ ذَلِكَ
بِأَنَّهُمْ قَالُوا إِنَّمَا الْبَيْعُ مِثْلُ الرِّبَا وَأَحَلَّ اللَّهُ
الْبَيْعَ وَحَرَّمَ الرِّبَا فَمَنْ جَاءَهُ مَوْعِظَةٌ مِّنْ
رَّبِّهِ فَانْتَهَى فَلَهُ مَا سَلَفَ وَأَمْرُهُ إِلَى اللَّهِ
وَمَنْ عَادَ فَأُولَٰئِكَ أَصْحَابُ النَّارِ هُمْ فِيهَا
خَالِدُونَ

جو لوگ سود کھاتے ہیں وہ (روز قیامت) کھڑے نہیں
ہو سکیں گے مگر جیسے وہ شخص کھڑا ہوتا ہے جسے
شیطان (آسیب) نے چھو کر بدحواس کر دیا ہو، یہ
اس لئے کہ وہ کہتے تھے کہ تجارت (خرید و فروخت) بھی
تو سود کی مانند ہے، حالانکہ اللہ نے تجارت (سوداگری)
کو حلال فرمایا ہے اور سود کو حرام کیا ہے، پس جس کے
پاس اس کے رب کی جانب سے نصیحت پہنچی سو وہ
(سود سے) باز آگیا تو جو پہلے گزر چکا وہ اسی کا ہے، اور
اس کا معاملہ اللہ کے سپرد ہے، اور جس نے پھر بھی
لیا سو ایسے لوگ جہنمی ہیں، وہ اس میں ہمیشہ رہیں
گے

The standing of those who eat Riba is like standing of the one who is confounded by Devil's stroke – that's because they say trade is just like Riba, whereas Allah has permitted trade and forbidden Riba. Hence those who have received the admonition from their Lord and desist, may keep their previous gains, their case being entrusted to Allah; but those who revert shall be the inhabitants of the fire and abide therein forever.

PROHIBITION OF RIBA IN HADITH

From 'Abdallah ibn Hanzalah : The Prophet, , said: "A dirham of riba which a man receives knowingly is worse than committing adultery thirtysix times" (Mishkat al-Masabih, Kitab al-Buyu', Bab alriba, on the authority of Ahmad and Daraqutni). Bayhaqi has also reported the above hadith in Shu'ab al-iman with the addition that "Hell befits him whose flesh has been nourished by the unlawful."



From Abu Hurayrah : The Prophet, , said: "On the night of Ascension I came upon people whose stomachs were like houses with snakes visible from the outside. I asked Gabriel who they were. He replied that they were people who had received interest."



From Jabir : The Prophet, , may cursed the receiver and the payer of interest, the one who records it and the two witnesses to the transaction and said: "They are all alike [in guilt]."



Jabir ibn 'Abdallah , giving a report on the Prophet's Farewell Pilgrimage, said: The Prophet, , addressed the people and said "All of the riba of Jahiliyyah is annulled. The first riba that I annul is our riba, that accruing to 'Abbas ibn 'Abd al-Muttalib [the Prophet's uncle]; it is being cancelled completely."

TYPES OF RIBA

Riba Al-Nasi'ah :

“The interest of delay”

Riba Al-Fadl:

“The interest of excess.”

***RIBA AL-NASI'AH* “THE INTEREST OF DELAY”**

- Also known Riba al-Quran
- Means postponement
- *riba* in loan contract
- This is the commonly understood type of *riba*.
- It's an increase in payment from a borrower to a lender over the original loan amount charged by the lender due to delay in time of payment.
- Time that is allowed for the borrower to repay the loan in return for the premium
- Debt resulting from loan contract
- Fixing in advance of a positive return ; any amount over and above principal
- Common in conventional banking products

COMMONPLACE EXAMPLES OF *RIBA AL-QURAN*

- Here's a short list of just a few examples you may have heard of. All of these types of products and contracts include *riba* and are classified as *haram* or not permissible for Islamic finance:
- Credit cards (note: debit cards are OK)
- Home mortgage
- Car/automotive loan
- Personal loan from a conventional bank
- Bank certificate of deposit ("CD")
- Capital market bonds
- US Government Savings Bonds

RIBA AL-FADL: “THE INTEREST OF EXCESS.”

- Also known as *riba al Sunnah*
- *Riba* in sale or exchange contract (*Riba al-Fadl*)
- Applies to sale transaction in commodities : exchanging one commodity for the same commodity but unequal in amount
- Arab used some commodities like wheat, barley, dates and salt (termed as *ribawi* items) as medium of exchange

HADITH

- The Prophet (Allah bless him and give him peace) said, “Sell gold in exchange of equivalent gold, sell silver in exchange of equivalent silver, sell dates in exchange of equivalent dates, sell wheat in exchange of equivalent wheat, sell salt in exchange of equivalent salt, sell barley in exchange of equivalent barley, but if a person transacts in excess, it will be usury (Riba). However, sell gold for silver anyway you please on the condition it is hand-to-hand (spot) and sell barley for dates anyway you please on the condition it is hand-to-hand (spot).”

According to this hadith, there are two main criteria that qualify a sale as having *Riba*:

**Delay in
time**

Or deferment
of the exchange
of commodities

**Difference
in quality**

In exchange of
similar
commodities

Rule of Exchanging Counter Values

First: the commodities must be exchanged on spot,

meaning at the same time. If one of the commodities is delayed, then it becomes Riba.

For example, if you give your friend 1 kilogram of dates today, and he gives you 1 kilogram of dates tomorrow, then this transaction is not valid. You should exchange the dates together on the same day.

Second: the similar commodities must be equal in quantity.

For example, if someone exchanges wheat for wheat or salt for salt, it must be equal, for instance, 1 kg for 1 kg. Note that this only applies if you are exchanging the same commodity; this would not apply to exchange wheat for salt. The rules of *riba* differs when different items are exchanged. The details can be seen in classical books of scholars.



ALTERNATIVE SOLUTION OF RIBA

Apply the Islamic economic system



Developing an Islamic Banking in the country



Giving / organization a Qard al Hassan Loan

غور

UNCERTAINTY

LITERAL MEANING

- Arabic word
- Root word “*gharra*” ‘to deceive’.
- Deceit
- Fraud
- Uncertainly
- Danger
- Peril
- jeopardy
- deception involving uncertainty and risk.
- Hazard that might to destruction or loss

TERMINOLOGICAL MEANING

- Uncertainly caused by lack of clarity regarding subject matter or price in a contract of exchange
- A sale of a thing which is not present at hand or whose consequences is not known
- the sale of what is not yet present," such as crops not yet harvested or fish not yet netted.

For Example

- crops not yet harvested
- fish not yet netted.
- Sales of unborn animals
- Sales of birds in the air
- Contracts not drawn out in clear terms.
- Gambling (*maysir*)
- Sell good that seller is not in position to deliver
- Sell unknown pages or known goods against unknown price
- Make a contract conditional on an unknown event
- Sell good on basis of false description
- Sell good without proper examination

EVIDENCE OF PROHIBITION OF GHARAR

- It is appeared 27 times in the Quran
- As the term is not directly mentioned anywhere in the holy book of Islam
- In the Quran
- “Do not consume your property wrongfully, nor use it to bribe judges, intending sinfully and knowingly to consume parts of other people’s property.” [2:188]
- “You who believe, do not wrongfully consume each other’s wealth but trade by mutual consent. Do not kill each other, for God is merciful to you.” [4:29]

THE RATIONALE OF PROHIBITION OF GHARAR

To ensure full consent and satisfaction of the parties in a contract.

Without full consent, a contract may not be valid. Full consent can only be achieved through certainty, full knowledge, full disclosure and transparency

TYPES OF GHARAR

1. Gharar Yaseer (minor or slight)

This type of gharar is tolerated and will not invalidate a contract.

Gharar yaseer may include the following cases

1. The uncertainty is slight or trivial.

2. Contract is unilateral or charitable (al tabarru'at) such as gift or bequest

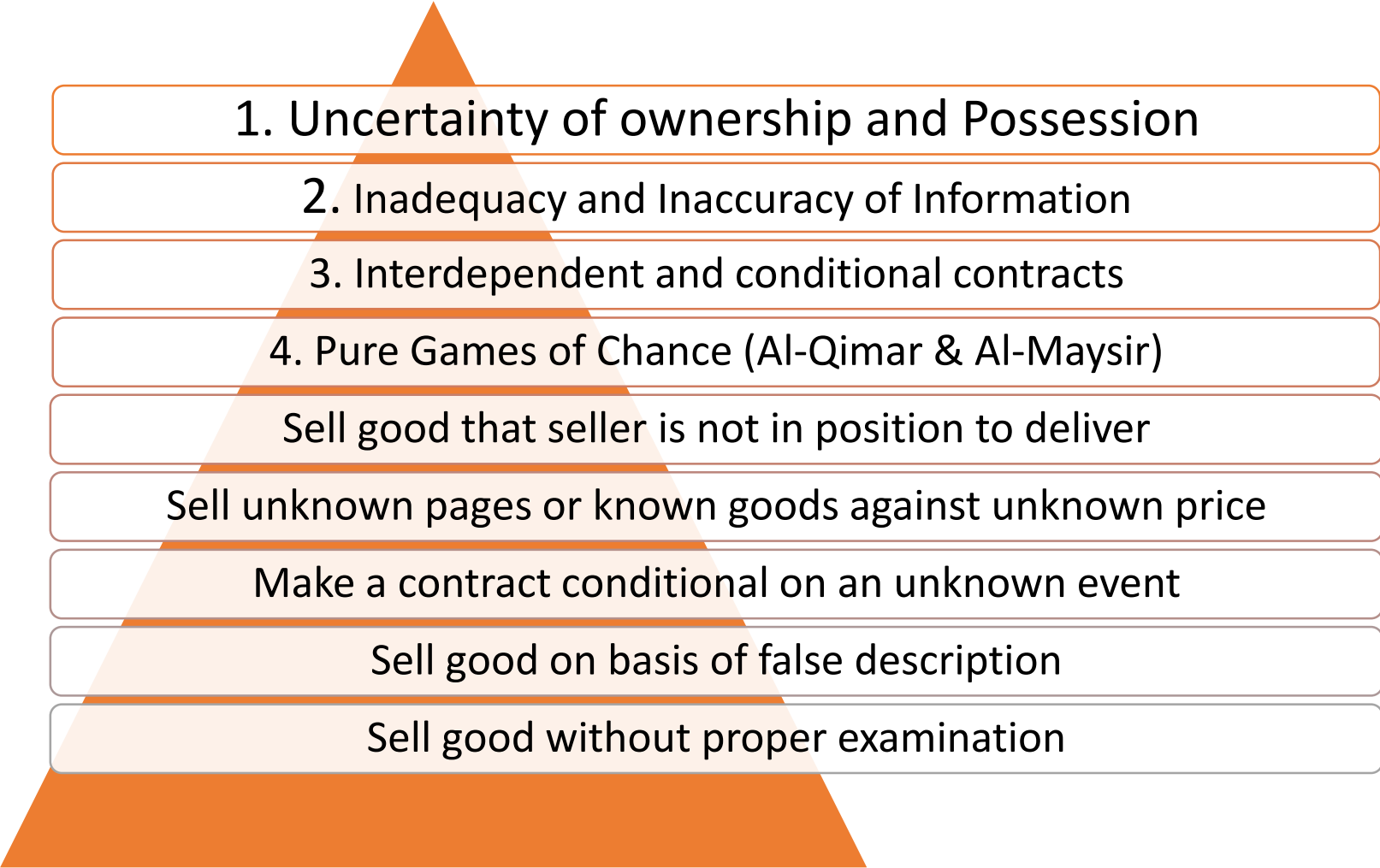
3. There is a public need for the transaction or contract (consideration of maslahah),

for example, bai' al salam, istisna'

2. Gharar Fahish (major or excessive)

This type of gharar is not tolerated and may result in contract voidability

The main cases of forbidden Gharar can be summarized in the following:



1. Uncertainty of ownership and Possession

2. Inadequacy and Inaccuracy of Information

3. Interdependent and conditional contracts

4. Pure Games of Chance (Al-Qimar & Al-Maysir)

Sell good that seller is not in position to deliver

Sell unknown pages or known goods against unknown price

Make a contract conditional on an unknown event

Sell good on basis of false description

Sell good without proper examination

CONVENTIONAL BANK AND ISLAMIC BANK

- Conventional banking is the traditional way of banking that involves taking deposits from individuals and businesses and making loans to those who need financing.
- Islamic banking is a type of finance that involves the use of profit-sharing, interest-free loans, and other financial services based on the principles of Islamic Sharia law.
- Unlike conventional banking, which charges interest on loans, **Islamic banks are structured to encourage financial transactions with a principal focus on charity and community development.**

Conventional	islamic
Conventional banks are based on fully man made principles	Islamic banks are based on principles of Divine Law
Depositors are guaranteed a predetermined rate of return (interest)	Profits are shared between the bank and the depositors according to a preagreed ration and these profits are not guaranteed
It aims at maximizing profits with only legislative restrictions	It also aims at maximizing profit but subject to Shariah and legislative restrictions
Lend money with a predetermined rate of return	Participates in partnerships and joint ventures with customers. We share in profit and assume losses incurred by our customers
The relationship of the bank with its client , is that of creditors and debotors	The relationship of an islaimc bank with its client is that of parterneers , investors and entrepreneur , buyer and seller
Money is a product besides medium of exchange and store of value	Real asset is a product. Money is just a medium of exchange
Time value is the basis for charging interest on capital	Profit on exchange of goods and services is the basis for earning profit
Interest is charged even in case the organization suffers	Loss is shared when the organization suffers loss

MODES OF ISLAMIC FINANCING

Participatory Modes

- Mudarabah
- Musharakah

Sales Mode

- Murabahah
- Istisna
- Salam

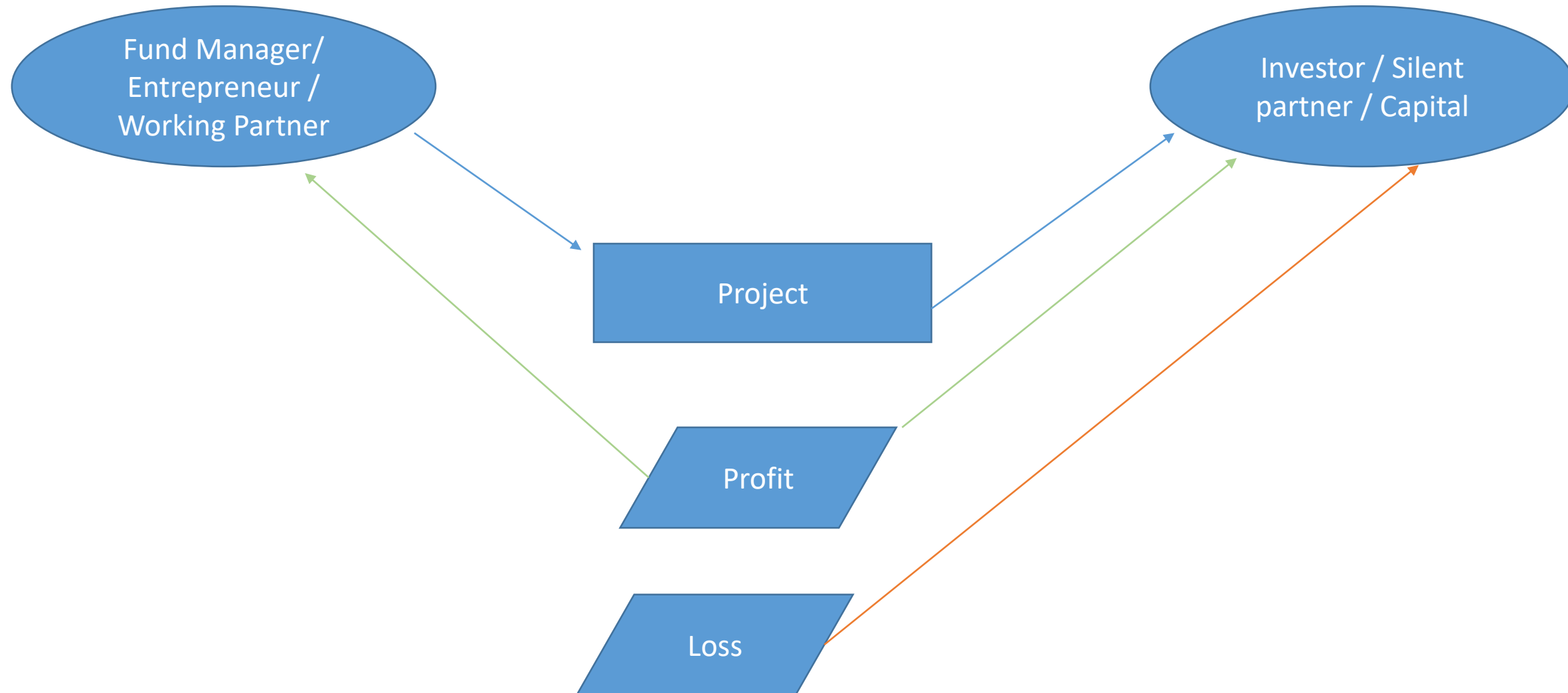
Rent Based Modes

- Ijarah (Leasing)

MUDARABAH

- It is a type of partnership where one party has the right to invest in the business i.e; Rabbul-maal and the other has the right to manage it i.e; Modarib.
- Any profits earned are shared between the two parties as per the profit ratio agreed during the agreement, while the financial loss is only suffered by the investor.

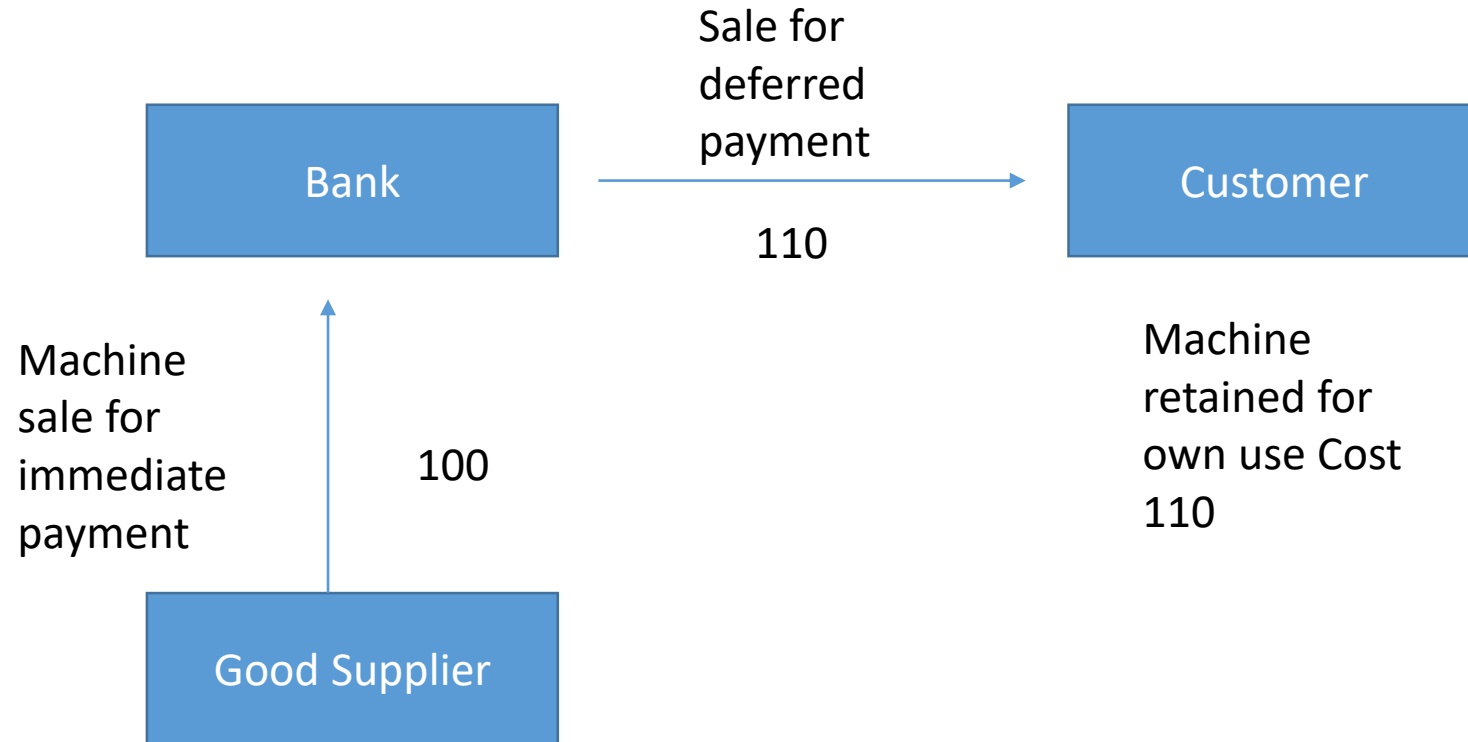
MUDARABAH



MURABAHA

- In its literary context, it means profit.
- In fact, it is an agreement of offer where in the seller reveals his cost and profit.
- It is an Islamic method of financing used by Islamic banks.
- In this financing mode, the customer requests the bank to buy certain products for him.
- The bank does that for a distinct profit over the cost, which is specified at the time of the agreement.

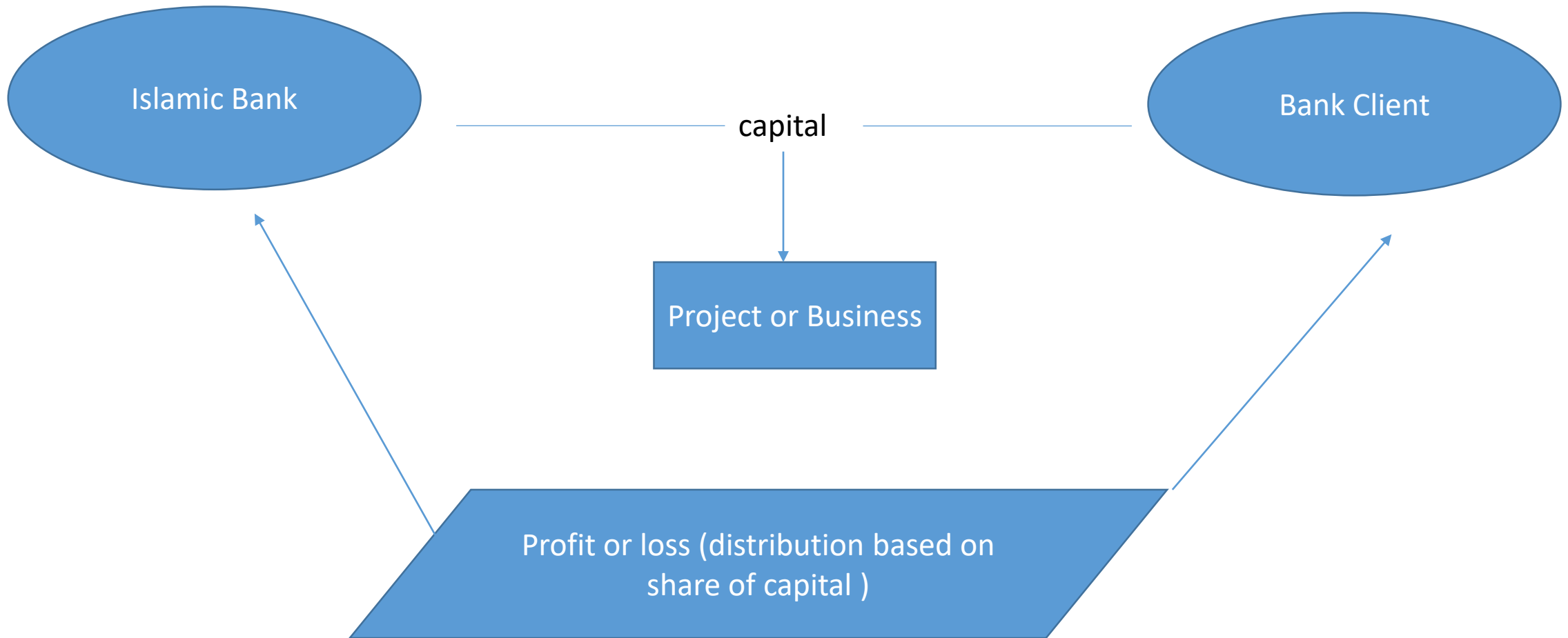
MURABAHA



MUSHARAKAH

- Its literary context, it means sharing or partnership. Musharakah implies a relationship set up under a mutual agreement of the parties for the sharing of profit and loss in the joint business. It is an arrangement under which the Islamic bank gives funds, which are blended in with the assets of the business undertaking and others. Profit is shared amongst the partners on a pre-agreed basis. However, the loss is borne by the partners equivalent to their respective capital investment ratios.

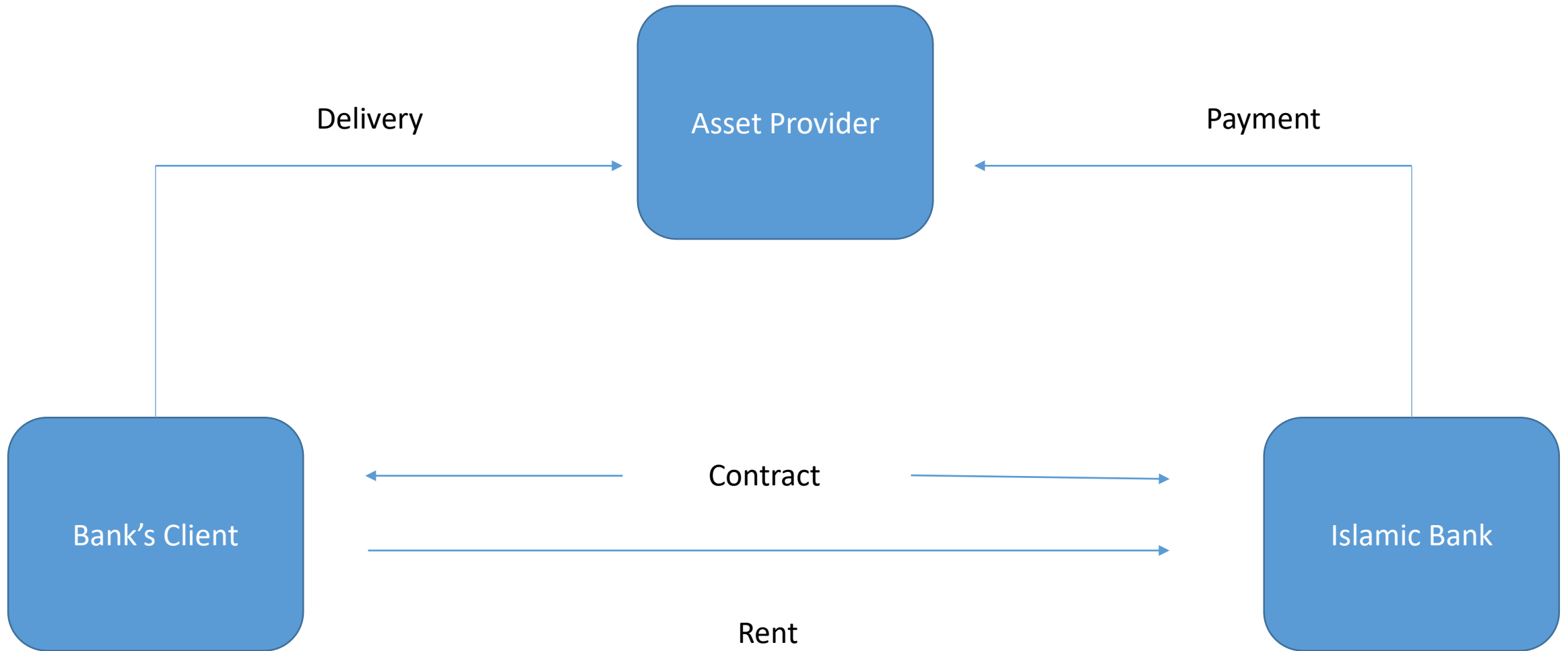
MUSHARAKAH CONTRACT



IJARAH

- Ijarah is an Arabic word and it means “to give something on rent”.
- Under the concept of Ijarah in Islamic banking, a customer can use an asset or equipment, which is owned by an Islamic bank, for a fixed period against a fixed price.
- Al Ijara is very similar to a leasing contract, and the asset under the Ijarah finance could be used for cars, homes, plants, or machinery.

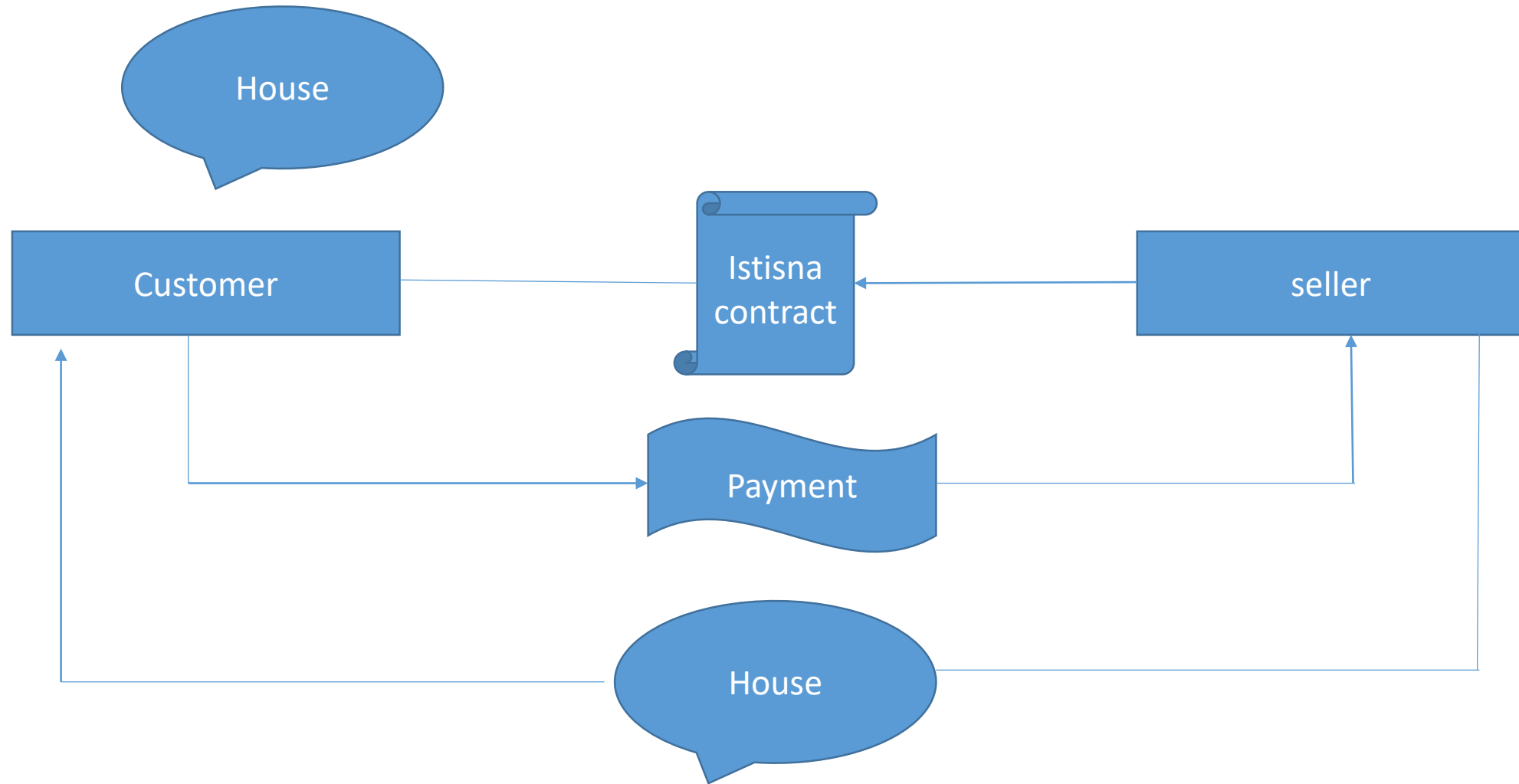
IJARAH



ISTISNA

- In Islamic financing, Istisna is generally a long-term contractual agreement for constructing, building, or manufacturing an asset, permitting advance money payment and delivery of commodities at a predetermined future time at an agreed price.
- It is generally used for giving an opportunity of financing the production or development of houses, buildings, plants, heavy machinery, and infrastructures like roads, bridges, railways, and more.

ISTISNA STRUCTURE



BAI SALAM

- It is defined as "Price is in cash but the supply of goods is deferred"
- It is also define as "seller undertakes to supply specific goods to the buyer at a future date in exchange of an advanced price fully paid at the spot"
- The purpose of salam to meet the need of small farmers who need money to grow their crops and to feed their family up to the time of harvest
- To meet the need of traders for import and export business

